

	Today	In 30 Years
The cost of a new car	\$17,000	\$41,000
The cost of a vacation for two	\$1,400	\$3,400
The cost of blue jeans	\$35	\$85
The cost of a new condo	\$120,000	\$291,000
The cost of two movie tickets	\$18	\$45

Young adults today do not remember the Great Depression, but when it comes to investing, the same hesitation to play the stock market exists. Whether the reason is fear, lack of funds, or ignorance of the need to invest, only about 29 percent of Americans surveyed in 2004 were investing in an Individual Retirement Account (IRA). Additionally, only 42 percent of Americans who are eligible to invest in an employment based retirement plan, like a 401(K), are actually doing so. If the employer provides a “match” to your contribution, not investing is like throwing away free money.

If your first job includes benefits, one of the questions you will be asked by your employer is “How much do you want to contribute to your 401(k) or similar retirement fund?” If you have a choice in investment options, you also may be asked, “Which funds do you want to contribute to?” If you find these questions confusing, you may elect not to invest at all just because you don’t know how to answer the questions.

Social Security used to provide adequately for a comfortable retirement, but according to the EBRI 2007 Retirement Confidence Survey, most retirees now receive their income from four main sources:

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| 1. Their own savings and investments | 42 percent |
| 2. Employment | 2 percent |
| 3. Workplace retirement benefits | 27 percent |
| 4. Social Security benefits | 40 percent |

